

The New Year Gold Finale

One customer wins 100 g of certified gold — announced LIVE on 31 December 2026

A compliance-engineered festive customer-acquisition engine for India's first 200-manufacturer, 400,000-design jewellery platform — a **Rs 1.5 crore** proposal with a fully documented legal / CA / consumer-court playbook in Part II.

Rs

INVESTMENT ASK

Rs 1.5 Cr

MARKETING BUDGET

Rs 9,00,000

GIVEAWAY PRIZE

100 g 24K ~Rs 15L

BALANCE

~Rs 1.16 Cr inventor

September 2026 · Investor discussion · Part I: the pitch with 10,000-customer scale case · Part II: legal / CA / consumer-court Do's & Don'ts. Not investment, legal or tax advice.

The opportunity window

Gold today (24K)

Rs 1.49–1.55 L

per 10 g, Sep 2026; festive upside historically +5–10% by December

Silver today

Rs 234–250/g

volatile; anchors the qualifying festive basket

Peak demand

6–10 Nov

Dhanteras · Diwali · Bhai Dooj — then wedding & Christmas to New Year

Online jewellery

Trust gap

hallmark, purity & return anxiety — transparency wins

The structural gap we attack

India's festive gold market sells through fragmented local jewellers and generic marketplaces. Nobody has combined aggregated manufacturer designs (200+ makers, 400,000+ SKUs), an AI design concierge, verifiable BIS hallmarking / HUID — and a compliance-safe national dream-prize funnel — at launch.

Why the prize is the point

A Rs 15 lakh headline is media, not just a cost. At Rs 9L of paid spend the prize multiplies attention ~2–3×; every rupee doubles as brand PR, live content and a nationwide retargeting asset — legally structured (free entry + skill quiz + audited draw).

Shivaa.in — the machine behind the campaign

Live CMS & storefront

Built

PHP 8 SPA, catalogue & checkout; v37+ HUID workflow (F1);
Why-Trust-Shivaa (F2).

Registered entity

Pvt Ltd

Ernate Shine Jewellery Pvt. Ltd. · CIN U32111RJ2025PTC099173 ·
UDYAM · GSTIN live pre-sale.

Supply pipeline

200 makers

Mumbai network; templated hallmark / HUID warranty, IP indemnity,
dispatch SLAs.

Design catalogue

400,000+

bridal, daily-wear gold, festive silver — phased, fulfil-able at launch.

AI design concierge

Gemini bot

quiz + chat turns 400k designs into a shortlist — disclosed AI,
DPDP-ready.

Compliance kit

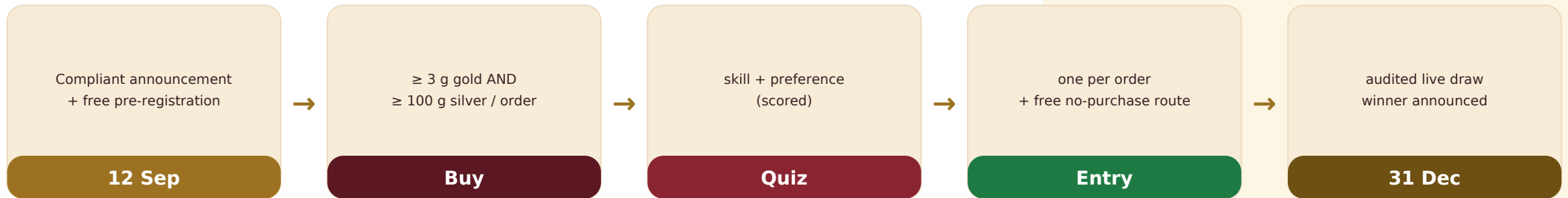
Ready

T&C;, free-entry route, grievance officer, audited-draw protocol, CCPA
/ ASCI copy rules.

Why this matters to an investor: the prize only pays if traffic converts. Shivaa already has the catalogue, the chatbot, the trust assets and the compliance engineering — the campaign converts that into demand.

Campaign engine — how an entry is created

Eligibility is defined on the invoice: a single paid, non-cancelled order carrying at least 3 g of gold and 100 g of silver at declared purity, verified by dispatch weight. The free route (same quiz, equal odds) is what keeps the scheme a lawful contest rather than a lottery.



Why this structure is defensible

- No-purchase free entry removes “consideration” — no private lottery.
- Scored skill quiz → a contest, not pure chance.
- “Win a chance” copy — never “100% free” (CCPA / ASCI).
- Winner's ~31.2% statutory TDS disclosed upfront.
- Written lawyer + CA opinions before entries open (G1-G2).

Key legal anchors

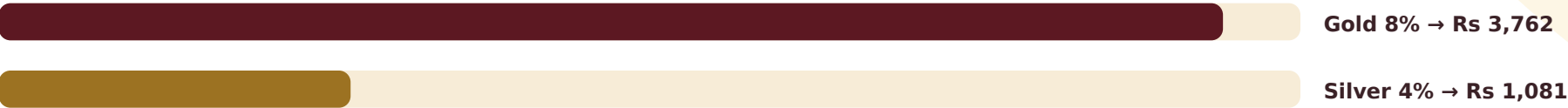
- Lotteries (Regulation) Act 1998 · IPC §294A · Prize Competitions Act 1955
- CPA 2019 §2(47) unfair trade practices · CCPA 2022 ad guidelines
- TN / WB excluded (“void where prohibited”); Maharashtra rules reviewed
- Prize: 100 g 24K certified — current market value, never a fixed promise
- Grievance officer 48-hr ack / 30-day redress (E-Commerce Rules)

Unit economics — qualifying order (3 g gold + 100 g silver)

Component	Metal @ Sep-26	Sale (ex-GST)	Gross profit
Gold — 3 g min (22K, +10% making)	Rs 42,750	Rs 47,025	8% → Rs 3,762
Silver — 100 g min (999, +15% making)	Rs 23,500	Rs 27,025	4% → Rs 1,081
Minimum qualifying basket	—	Rs 74,050	Rs 4,843 · 6.5%
Customer pays incl. ~3% GST	—	~Rs 76,400	—

Rates: 22K gold Rs 14,250/g · silver Rs 235/g (8–9 Sep 2026). Making-charge assumptions typical; average orders run Rs 90k–1L+.

Where profit comes from — making-charge spread, not metal



≈ **Rs 6,800 profit**
~6.8% blended — gold-heavy baskets carry the 8% margin.

What if 10,000 customers buy the 3 g gold entry piece?

Per customer

Rs 50,000 billed

~3 g gold incl. making + GST

Per customer profit

~Rs 4,000

≈ 8% on billing

10,000 customers · GMV

Rs 50 Cr

10,000 × Rs 50,000

10,000 customers · profit

Rs 4.0 Cr

10,000 × Rs 4,000

If the campaign converts just 1-2% of 0.5-1M visits into this order, the prize is paid for ~67x over by the making-charge margin — and every additional thousand buyers adds ~Rs 4

Buyers (× 3 g gold)	GMV	Profit (8%)	Metal cost to source	vs Rs 27L burn
500	Rs 2.5 Cr	Rs 20L	Rs 2.14 Cr	profitable
1,000	Rs 5.0 Cr	Rs 40L	Rs 4.28 Cr	+Rs 13L clear
3,000	Rs 15 Cr	Rs 1.2 Cr	Rs 12.8 Cr	+Rs 93L
5,000	Rs 25 Cr	Rs 2.0 Cr	Rs 21.4 Cr	+Rs 1.7 Cr
10,000	Rs 50 Cr	Rs 4.0 Cr	Rs 42.8 Cr	+Rs 3.7 Cr

The CA's honest footnote: 10,000 buyers needs ~30 kg of gold (≈ Rs 42.75 Cr). At ~3x festive inventory turns, peak stock of Rs 12-16 Cr must be financed by vendor credit (15/30/45-day), customer prepayment, consignment and bank / bullion limits — the Rs 1.16 Cr seed starts the flywheel; volume beyond ~1,000 buyers is funded by the cycle itself. Scale in steps: 1,000 buyers is already ≈ 1.5x the campaign burn.

How many customers sustain marketing + bullion budget?

Fixed campaign cash spend: **Rs 9L marketing + Rs 15L prize + Rs 3L ops ≈ Rs 27L** (prize TDS is pass-through — the winner pays). At **Rs 4,843** profit per minimum qualifying basket:

Cover marketing alone

≈ 190 orders

Rs 9L ÷ Rs 4,843 → GMV ≈ Rs 1.4 Cr

Cover marketing + prize

≈ 500 orders

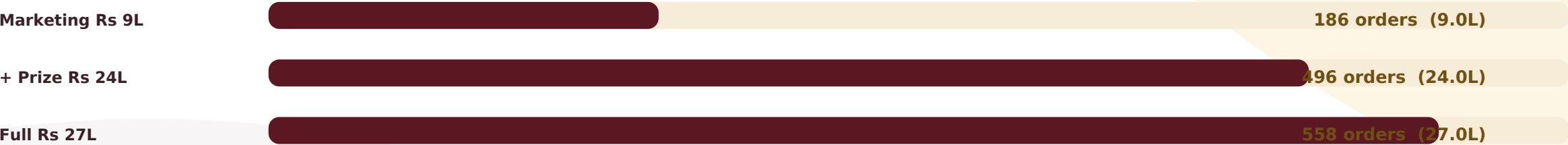
Rs 24L ÷ Rs 4,843 → GMV ≈ Rs 3.7 Cr

Cover full Rs 27L burn

≈ 560 orders

+5% leakage: ≈ 590 → GMV ≈ Rs 4.3 Cr

Orders needed vs hurdles (min-basket, ≈ 1% of visits)



Scenario	Avg order	Profit / order	Rs 9L mkt	Rs 24L	Rs 27L total
Minimum basket	Rs 74,050	Rs 4,843	186	496	558
Average basket (target)	Rs 1,00,000	Rs 6,800	132	353	397
3 g gold entry (scale case)	Rs 50,000	Rs 4,000	225	600	675

Use of funds — every rupee accounted



Marketing & content

Instagram ads, boosted Lives, influencers (#ad), content — phased to 31 Dec

Rs 9.0L



Giveaway — prize logistics

100 g 24K certified biscuit 15.0 + insurance/custody 0.3 + CA-witnessed draw & ceremony 0.5

Rs 15.8L



Platform ops & compliance

legal + CA opinions, T&C, DPDP, grievance officer, quiz / free-entry / draw tooling, chatbot, CS, load & queue

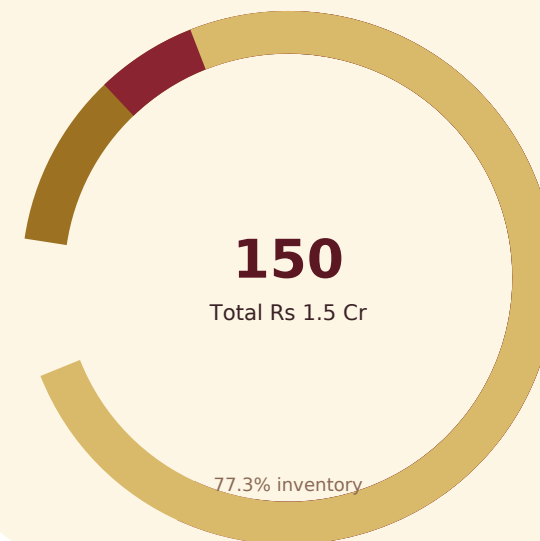
Rs 9.2L



Inventory & supply-chain working capital

gold & silver stock + manufacturer advances (15/30/45-day); rotates ~3x in the window

Rs 116.0L



Why 77% sits in inventory: it is the engine and the safety net — the stock makes the qualifying sales and remains an owned, saleable asset; the campaign cannot “burn” it. Peak stock ~Rs 1.0–1.2 Cr supports ~Rs 4–5 Cr GMV at ~3x festive turns.

Cash cycle & inventory engine

1 • Customer pays

Upfront

digital payment incl. GST — full value in

2 • Vendor paid later

15/30/45 days

net-terms with 200 makers; float funds next stock

3 • Dispatch ≤ 7 days

Insured

BIS/HUID-verified, invoice-weighted; 48h/30-day CS

4 • Gold hedge

Buy early

prize bought ≤ 30 Sep; stock rides festive appreciation

Revenue streams

- Making-charge margin on gold (8%) & silver (4%) across the catalogue.
- Vendor markup splits (written) on the 400,000-design catalogue.
- Repeat & wedding revenue from a 25k-100k consented cohort.
- Consolation funnel — offers to non-winning entrants (post-draw profit).

Added value beyond the brief

- 5% cancellation / refund leakage buffer in every target.
- Prize bought early + insured $\rightarrow$ gold-price risk managed.
- Prize TDS is pass-through (winner pays $\sim 31.2\%$).
- CA-written GST / ITC model for the gifted biscuit pre-purchase.
- Fraud controls: OTP, entry caps, order-weight re-verification.

Marketing — spend where festive gold demand peaks



Phase	Window	Rs	Focus
Announcement + pre-entry	12 Sep – early Oct	0.8L	compliant Live launch; waitlist; catalogue teasers; pixel building
Launch + Diwali burst	early Oct – 15 Nov	3.4L	entries open; Dhanteras 6 Nov · Diwali 8 Nov · Bhai Dooj 10–11 Nov
Wedding + Christmas	16 Nov – 15 Dec	1.8L	wedding gifting; entry reminders; optional interim Live
Finale	16 – 31 Dec	2.6L	entries close ~18–20 Dec; countdown; 31 Dec live draw; post-draw
Buffer / experiments	rolling	0.4L	creative & influencer (#ad) testing

Funnel targets

1–3M reach

→ 20–60k visits (2–4% CTR) → 15–25% entries → 1–2% buy

Cost discipline

CAC ≤ Rs 12–15k

per qualifying buyer; Rs 100–300 per lead

Creative rules

Trust first

hallmark/HUID, the sealed certified biscuit, maker workshops, audited draw

Timeline to the 31 December draw



#	Date	Milestone	Gate
1	Now - 11 Sep	Lawyer + CA engaged; written opinions; GST application; board resolution; prize vendor; insurer	G1-G3
2	12 Sep	Compliant announcement Live + free pre-registration (no entries, no purchase linkage)	G7
3	13 - 30 Sep	T&C;, official rules, privacy (DPDP), grievance officer, vendor agreements; prize purchased ≤ 30 Sep	G4-G5
4	Early Oct	Entries open — free route + purchaser perk; quiz live; ledger + fraud controls	G6
5	Oct - 15 Dec	Phased Rs 9L marketing; festival peak; weekly compliance check-ins	—
6	16 - 20 Dec	Entries close (18-20 Dec 12:00 IST); ledger freeze + hash; audit prep; finalist PAN / KYC	—
7	31 Dec	CA-witnessed live draw — winner announced	—
8	Jan 2027	TDS deposit + Form 16A; insured handover; winner PR; MIS report by 31 Jan	—

Risk & mitigation — the answer already built

Risk	L	I	Mitigation in place
Read as lottery / unfair practice	Med	High	free-entry route + skill quiz + written lawyer opinion before entries open
CCPA “100% free” action	Low	High	“win a chance” copy; conditions prominent; ASCI / CCPA review of every creative
Gold price up by Dec	Med-High	Med	prize bought ≤ 30 Sep; inventory hedges; budgeted Rs 15-17L range
Vendor fake / under-carat gold	Med	High	hallmark / HUID warranty + indemnity in agreements; batch QC; seller-of-record QA
Site crash on viral day	Med	Med	load test + queue / rate-limiter before peak spend
Draw perceived rigged	Low	High	CA witness; SHA-256 freeze; unedited recording kept 8 years; live stream
Winner bought nothing (free entrant)	Med	Low	disclosed odds; purchaser perks carry the funnel; consolation offers drive profit
10,000-buyer scale can't be funded	Med	High	staged growth: 1,000 buyers is ≈ 1.5× the burn; cycle-funded expansion (vendor credit, prepay, consignment, bullion limits)

Fuller legal / tax / product risk analysis with statute references and effective dates is in research files 01-09 of the pack.

Why other jewellers are NOT running this scheme

- **They can't do it legally.** A purchase-only lucky draw is a lottery; most run these blind. We engineered compliance first.
- **They won't risk margin.** ~500–600 buyers on 4–8% margins = 6–10 months of profit behind one prize.
- **They lack the inventory depth.** A ~Rs 1L basket needs deep gold AND silver stock, not slow Rs 30–60L inventory.
- **Traffic wouldn't convert.** No 400,000-design catalogue + AI concierge means a giveaway wasted on a thin store.
- **No tech stack.** Entry ledger, audited draw, free-entry route, HUID checks, DPDP consent, queues — beyond a shop system.
- **Cash & liquidity.** ~Rs 1.5 Cr upfront with a 3.5-month hold — most jewellers are inventory-cash-tight here.
- **Brand-optics fear.** “Lucky draw” feels cheap to heritage houses — leaving the high-attention game open.
- **Tax complexity.** §128 / §393(3) TDS, ITC reversal, PAN / KYC, notary draws — paperwork small firms avoid.
- **They can't fulfil 200 makers.** SLAs, hallmarking, returns, quality under one brand — an ops machine most lack.
- **Even a copycat tomorrow** — we hold first-mover data, supplier contracts, the HUID-verified catalogue and the playbook.

The moat is the compliance-first structure + the inventory engine + the data — not the prize alone.

The investment — Rs 1.5 crore

Deployment (recap)

Head	Amount
Marketing	Rs 9.0L
Prize + logistics	Rs 15.8L
Ops & compliance	Rs 9.2L
Inventory & supply chain	Rs 116.0L
Total	Rs 1.50 Cr

Investor comforts

- ~77% sits in owned, liquid inventory — not burned.
- Prize funded and purchased first; insured.
- Legal + CA written opinions gate every public step.
- Monthly MIS; report by 31 Jan 2027.
- Loan documented under §73 (Companies Act).

Structure options (with CA / lawyer)

- **A · Secured loan** — 18% p.a., 12-month bullet; inventory hypothecation; prize escrow.
- **B · Convertible** — note / CCPS at next-round valuation; cap + discount.
- **C · Equity** — dilution at agreed valuation (to be negotiated).

Base-case economics (slides 6–7) support interest + principal from operating surplus within 12 months; downside is cushioned by the inventory asset and the gold price.

PART II · THE COMPLIANCE & ADVISORY PLAYBOOK

Legal · CA / Tax · Consumer Court

Do's & Don'ts — seven specialist pages, ten points each side

Consumer & advertising lawyer · CA (jewellery retail, GST, income tax) · consumer-court specialist · BIS / metrology / AML / DPDP
Research-based guidance for your advisors — not a substitute for their written opinions.

Legal playbook — making the draw lawful

A prize + chance + consideration = a lottery under the Lotteries (Regulation) Act 1998 and IPC §294A. A purchase-only, pure-chance draw for a Rs 15L prize is a private lottery. The fix below is the industry-standard structure.

✓ DO MUST

- ✓ **Free entry first.** Offer a genuine no-purchase route with the same quiz and equal odds — it removes “consideration”.
- ✓ **Real skill element.** The quiz must be scored and material (knowledge / closest-guess tie-break), with published criteria.
- ✓ **Written lawyer opinion.** Get a consumer / advertising lawyer's opinion on the final mechanic before any entry opens.
- ✓ **Full T&C; pre-launch.** Publish eligibility (18+, India), IST dates, odds, draw method, tax and re-draw before the first ad.
- ✓ **State exclusions.** Exclude TN (Prize Schemes (Prohibition) Act 1979) and WB; confirm Maharashtra / Rajasthan scope; “void where prohibited”.
- ✓ **Price the goods honestly.** Sell at genuine market price; state in the T&C; that nothing is paid “to enter the draw”.
- ✓ **Audit everything.** CA / notary witness, SHA-256 frozen ledger, live stream, unedited recording kept 8 years.
- ✓ **Word it as a contest.** “Festive reward / contest” — never the word “lottery” in any material.
- ✓ **Announce publicly.** Results on the same channels used to promote, promptly, with the full method shown.
- ✓ **Keep equal odds.** Purchaser perks must not silently stack odds against free entrants (disclose every mechanic).

✗ DON'T MUST

- ✗ **No buy-to-enter draws.** Prize + chance + consideration = private lottery and §294A IPC exposure — never launch it.
- ✗ **No token quizzes.** A cosmetic quiz does not change the legal character — skill must be real and decisive.
- ✗ **No “100% free” claims.** While a purchase exists, say “win a chance” — and never fix a guaranteed rupee prize value.
- ✗ **No banned entrants.** Employees, relatives, vendors, agencies and their families must be excluded and stated.
- ✗ **No hidden exclusions.** Silent state exclusions or fine-print-only terms invite regulator and consumer action.
- ✗ **No delayed results.** Holding back or selectively publishing results is itself an unfair trade practice.
- ✗ **No winner fees.** Never ask the winner to pay courier, processing or handling fees — only statutory TDS may be deducted.
- ✗ **No deposit / chit language.** Never frame it as pooled money, “chit”, “scheme” or “guaranteed return”.
- ✗ **No rigged or opaque draws.** Never let the draw look self-dealt — independent witness + recording are non-negotiable.
- ✗ **No launch before sign-off.** Do not open entries before the written legal opinion exists (gate G1).

State laws, ads & “free” claims

Prize Competitions Act 1955 (central), state gambling / prize-scheme acts, CPA 2019 §2(47) and the CCPA Guidelines 2022 all police “prize to promote sale” mechanics. Maharashtra taxes / regulates prize schemes; TN prohibits many outright.

✓ DO MUST

- ✓ **License or exclude.** If thresholds are crossed in a regulated state, obtain the licence or exclude residents by published rule.
- ✓ **Material terms upfront.** State minimum order, one-entry rule, odds and tax in the ad and the Live — not just in the T&C; link.
- ✓ **Value as current-market.** “~Rs 15 lakh at announcement; varies with the gold price on the draw date” — never a fixed promise.
- ✓ **ASCI / CCPA check.** Every creative and script reviewed against CCPA Guidelines 2022 before publication.
- ✓ **Conditions prominent.** Legible, same-language disclaimers — fine print cannot save a misleading headline.
- ✓ **One entry per person.** Clear KYC-based cap; disclose what happens on duplicate or fraudulent entries.
- ✓ **Declare the odds.** If 100,000 enter and one wins, say so plainly — “false sense of opportunity” is a CCPA target.
- ✓ **Tie-break rules published.** For any judged element: who judges, on what criteria, when results come.
- ✓ **Keep ad archives.** Retain every version of every ad and post (8 years) for the compliance file.
- ✓ **Mid-campaign re-review.** Every 4-5 weeks, re-check live creatives, grievance log and free-route prominence.

✗ DON'T MUST

- ✗ **No bait pricing.** Never imply the prize is funded by inflating jewellery prices or making charges.
- ✗ **No fine-print hiding.** Buried conditions behind a T&C; link only — regulators treat that as concealment.
- ✗ **No exaggerated reach.** Do not claim “4 lakh designs live” until the catalogue genuinely supports it.
- ✗ **No lottery-adjacent words.** Avoid “jackpot”, “buy a chance”, “win on purchase” in copy.
- ✗ **No paid “winners”.** Never pre-select winners or run an influencer-only prize pool undisclosed.
- ✗ **No changed rules mid-campaign.** Amendments only prospectively and with prominent notice — never to deny a rightful claim.
- ✗ **No regional blind spots.** A pan-India campaign is exposed to the strictest state law of any entrant — map it with counsel.
- ✗ **No repeat-offence exposure.** Second misleading ad can mean Rs 50L + 5 years — treat every new creative as a fresh review.
- ✗ **No unvetted influencers.** Paid promoters need #ad and the same compliant wording you use.
- ✗ **No silent deprioritising.** Keep the free-entry route equally visible after purchases start — equal odds must hold.

Consumer protection & e-commerce rules

CPA 2019 §2(47) unfair trade practices, CCPA enforcement (misleading ads), Consumer Protection (E-Commerce) Rules 2020, Legal Metrology Act 2009. Complaints can reach the District / State Commissions and CCPA can act suo motu.

✓ DO MUST

- ✓ **Display identity block.** Legal name, CIN, registered address, GSTIN, customer care + named grievance officer on every page.
- ✓ **Publish policies.** Returns / refunds / exchange / cancellation, delivery timelines, price breakup (metal + making + GST).
- ✓ **48h / 30-day SLA.** Acknowledge complaints within 48 hours; redress within 30 days; log everything.
- ✓ **Honour the promise exactly.** 100 g of 24K certified gold on the announced terms and date — nothing less.
- ✓ **Keep the evidence file.** Methodology, witness certificate, unedited recording, published results — 8 years.
- ✓ **Product truth per SKU.** Hallmarked gold (HUID), declared silver purity, invoice weight matching delivered weight.
- ✓ **Treat vendors as your liability.** The consumer bought from Shivaa — enforce vendor warranties, hallmark and indemnity clauses.
- ✓ **Consent for data.** Collect phone / PAN / quiz data with DPDP notice and consent; state retention and deletion rights.
- ✓ **Design for the complaint.** A clean, staffed grievance desk converts a would-be lawsuit into a resolved ticket.
- ✓ **Respond to regulators.** Any CCPA letter or commission notice gets a documented, time-bound response.

✗ DON'T MUST

- ✗ **No “100% free” anywhere.** Same rule as ads — conditions in the same breath as the claim.
- ✗ **No hidden charges.** Winner pays only statutory TDS — no courier, packaging or “processing” fees.
- ✗ **No rigged perception.** Never bias the draw toward purchasers, friends or staff — optics are evidence.
- ✗ **No fine-print-only rules.** State the material terms visibly; fine print alone has lost real cases.
- ✗ **No fake reviews / claims.** Never post paid-for reviews or claim goods are “Shivaa-made” when made by vendors.
- ✗ **No unhallmarked gold.** Shipping gold jewellery without BIS / HUID invites offence-level action and complaints.
- ✗ **No weight mismatch.** Dispatch weight must equal invoice weight — a gram difference is a refund + compensation claim.
- ✗ **No ignored notices.** Ignoring a consumer-commission notice converts a small claim into costs and penalties.
- ✗ **No indefinite data holds.** Retain only what law requires; honour erasure requests.
- ✗ **No seller-of-record denial.** You cannot contract away consumer liability by blaming the manufacturer — indemnities are internal.

Income tax & TDS on the prize

Income-tax Act 2025 applies from 1 Apr 2026 — the draw is 31 Dec 2026. Winnings are casual income at a flat ~31.2% (30% + 4% cess): charging section §128 (formerly §115BB); TDS §393(3) Table Sl. 1 (formerly §194B).

✓ DO MUST

- ✓ **Value at draw-date FMV.** Compute TDS on the fair market value of 100 g of 24K gold on the draw date (not the launch date).
- ✓ **Winner pays first.** In-kind prize: winner deposits ~31.2% before delivery; Shivaa deducts, deposits and issues Form 16A / 26AS.
- ✓ **PAN before release.** Collect PAN upfront — no PAN raises the TDS rate; bar release until KYC is complete.
- ✓ **File on time.** Quarterly TDS returns, challans on schedule; reconcile with 26AS before the winner's return.
- ✓ **Gross-up option modelled.** If Shivaa absorbs tax (Scenario B), the gross-up is $\sim \text{Rs } 15\text{L} \div 0.688 \approx \text{Rs } 21.8\text{L}$ — CA to confirm exact rate incl. surcharge.
- ✓ **No §194R.** A retail consumer winner is not a business recipient — §194R (perquisites) does not apply.
- ✓ **Declare in ITR.** Winner reports under “Income from Other Sources”; provide the TDS certificate promptly.
- ✓ **SFT awareness.** High-value transactions / cash $\geq \text{Rs } 10\text{L}$ have SFT 61A reporting — confirm thresholds with the CA.
- ✓ **Tax-residency check.** Non-resident winners attract different rates — address in the T&C; and deduct accordingly.
- ✓ **Document the decision.** Winner-pays vs gross-up decision recorded in the board minutes and the T&C; before the draw.

✗ DON'T MUST

- ✗ **No handover without TDS.** Releasing the gold before tax deposit leaves the liability with the company.
- ✗ **No flat-30% quoting.** The effective rate is ~31.2% with cess — under-deduction is a personal liability for the deductor.
- ✗ **No wrong section.** Do not file under §194R / §194A etc. — use the winnings provision (§393(3)) for a consumer prize.
- ✗ **No PAN-less release.** Release without PAN invites the higher 20% TDS and an incomplete compliance file.
- ✗ **No missed deadlines.** Late TDS deposit attracts interest and penalties — calendar it from draw day.
- ✗ **No valuation games.** Under-valuing the gold to cut TDS is concealment — value at true FMV on the draw date.
- ✗ **No absorbing silently.** If Shivaa grosses up, account for the additional deemed benefit — do not bury it.
- ✗ **No guessing surcharge.** Cess / surcharge differ by status — get the CA's exact computation in writing.
- ✗ **No Form 16A delay.** The winner needs it for credit — issue within statutory timelines.
- ✗ **No loose ends at FY close.** Reconcile TDS, 26AS, and the prize purchase before 31 Mar 2027 filings.

GST, ITC, invoicing, PMLA & records

GST: 3% on gold / silver value (1.5+1.5 or 3% IGST); making charges billed at 5% in practice. A free gift of the biscuit triggers input-credit reversal under CGST §17(5)(h). As a precious-metals dealer, Shivaa is a PMLA reporting entity.

✓ DO MUST

- ✓ **Register GSTIN first.** Rajasthan GST registration live and displayed before the first sale (E-Commerce Rules display duty).
- ✓ **ITC model in writing.** CA's rupee model for the gifted biscuit (reversal vs bundled treatment) before purchase; book prize as marketing expense.
- ✓ **Invoice correctly.** HSN 7113 / 7108 / 7118; 3% on metal, 5% on making; proper CGST / SGST / IGST split.
- ✓ **Match vendor GSTINs.** Every Mumbai maker's invoice must carry a valid GSTIN — protects against fake-invoice liability.
- ✓ **e-invoice / e-way bill.** B2B e-invoice at the Rs 5 Cr threshold; e-way bill carve-outs for Chapter 71 confirmed by CA.
- ✓ **PMLA / FIU-IND.** Reporting-entity registration path; CTR for cash $\geq$ Rs 10L; STR on suspicion; vendor KYC.
- ✓ **Retain 8 years.** Entries, draw log, invoices, TDS challans, communications, prize delivery — the full audit trail.
- ✓ **Cash-flow scenarios.** CA models Scenario A vs B in rupees, including the TDS float and vendor settlement timing.
- ✓ **GST returns on time.** GSTR-1 / 3B calendar around the campaign; reconcile with 2A / 2B.
- ✓ **Inventory accounting.** Stock at cost, gold revaluation policy documented; prize tracked as an earmarked asset.

✗ DON'T MUST

- ✗ **No sales before GSTIN.** Selling without GST registration is an offence — gate G3 is hard.
- ✗ **No ITC on the gift.** Claiming input credit on the free biscuit without reversal is a recoverable demand + interest.
- ✗ **No mismatched invoices.** A vendor invoice that does not reconcile with GSTR-2A risks blocked credit.
- ✗ **No cash $\geq$ Rs 10L un-reported.** CTR / SFT obligations attach regardless of size — a dealer has no de-minimis.
- ✗ **No fake-invoice chains.** Aggressive vendor structures with circular credit are exactly what GST officers prosecute.
- ✗ **No revenue before dispatch.** Book sale on dispatch / delivery; customer prepayments are advances, not profit.
- ✗ **No single-person custody.** Prize and stock movements need two-person authorisation and logs.
- ✗ **No undocumented loan.** Financier money as a loan without §73 compliance risks “unauthorised deposit” treatment.
- ✗ **No late GSTRs.** Late returns during peak season compound penalties with interest.
- ✗ **No deleting records.** Nothing is deleted for 8 years — tax, consumer and legal retention overlap.

BIS · metrology · Meta · AI · DPDP

Gold-jewellery hallmarking (BIS + HUID) is mandatory in notified districts; silver is voluntary under IS 2112:2025. A 24K coin / biscuit carries a certified refiner's purity certificate. DPDP Rules were notified 13 Nov 2025 — enforce from ~May 2027, design now.

✓ DO MUST

- ✓ **Hallmark every gold SKU.** BIS logo + purity + HUID per piece, verifiable through BIS Care; enforce at listing and dispatch.
- ✓ **Declare silver purity.** 925 / 999 marks on the piece, invoice and packaging; treat voluntary hallmarking as your standard.
- ✓ **Certified prize biscuit.** MMTC-PAMP / Government-Mint-type refiner, certificate + serial + invoice + insurance + custody log.
- ✓ **Meta promotion rules.** Business account; official rules; the exact Instagram-release disclaimer; no fake tagging; #ad for influencers.
- ✓ **DPDP consent stack.** Notice + consent at quiz / entry / PAN; purpose limits; retention window; grievance contact; processor agreements for chatbot / analytics.
- ✓ **AI disclosure.** Label the assistant, give human escalation, and keep the AI out of winner selection and out of legal / tax answers.
- ✓ **Legal Metrology labels.** Net weight, purity, seller identity, price incl. GST on pack & invoice; watch the draft country-of-origin e-commerce filter.
- ✓ **Vendor IP licence.** Written right to display / photograph / recommend each manufacturer's designs — Copyright & Designs Act protection.
- ✓ **Breach readiness.** Notify without delay, detailed report within 72h (CERT-In where applicable), log everything.
- ✓ **AML monitoring.** Screen for unusual orders (multiple P.O.s to same address, repeated large cash-adjacent buys).

✗ DON'T MUST

- ✗ **No unhallmarked gold jewellery.** An offence in notified districts and instant consumer complaint — no exceptions.
- ✗ **No mis-stated purity.** Never pass 22K as 24K, or 916 as 999 — “biscuit vs jewellery” regimes differ; label correctly.
- ✗ **No unverified “BIS-verified”.** The site hands off to BIS Care for verification — label it “user-verifiable”, never “auto-verified”, while disconnected.
- ✗ **No personal-account promos.** Run the giveaway from a Business / Creator account only.
- ✗ **No tag-to-win mechanics.** Never make story-sharing or photo-tagging the only entry route.
- ✗ **No data misuse.** Quiz / purchase / PAN data used only for its stated purpose, with consent.
- ✗ **No AI promises.** The chatbot must not guarantee the draw, purity or tax outcomes, or answer as a lawyer / CA.
- ✗ **No unlicensed imagery.** Reproducing a maker's photos / designs without rights is a Copyright / Designs Act claim against Shiva.
- ✗ **No orphaned data.** Personal data without a retention schedule or deletion path violates DPDP once enforcement starts.
- ✗ **No KYC shortcuts.** Skip vendor KYC and you inherit fake-invoice and AML exposure.

Oversight, vendors & the launch gate

Governance is the control board the investor can audit: board authority, segregated duties, tested systems and a gated public launch. This is research file 03's gate register made investor-visible.

✓ DO MUST

- ✓ **Board resolution.** Authorise the offer, prize, Rs 9L budget, Rs 1.5 Cr deployment, custodian and draw authority.
- ✓ **Engage advisors now.** Lawyer + CA briefed before 12 Sep; written opinions in hand before entries open.
- ✓ **Segregate duties.** Draw, ledger, prize custody and finance handled by different people.
- ✓ **Insure + secure.** Prize and stock insured; biscuit in lockable custody with a 2-person access log.
- ✓ **Test end-to-end.** Purchase → quiz → free entry → simulated draw — before paid media.
- ✓ **Load-test peaks.** Queue / rate-limiter rehearsed ahead of Dhanteras, Diwali and the finale.
- ✓ **Vendor agreements.** First 20–30 makers signed: hallmark / HUID warranty, IP, SLA, returns, indemnity, GSTIN.
- ✓ **Weekly check-ins.** Ad wording, grievance log, free-route prominence, refund SLA through the whole window.
- ✓ **Re-draw rule.** Published: invalid or unresponsive winner → recorded re-draw within stated days.
- ✓ **Monthly MIS to investor.** Orders, GMV, entries, CAC, complaints, cash — full report by 31 Jan 2027.

✗ DON'T MUST

- ✗ **No pre-opinion launch.** Opening entries before the written opinions exist is the single biggest avoidable risk.
- ✗ **No December spend early.** Keep the finale funded — never front-load the media plan.
- ✗ **No single point of failure.** One person controlling draw + ledger + prize is a fraud and optics disaster.
- ✗ **No quiet free-route fade.** Equal odds must be maintained and promoted all campaign.
- ✗ **No skipped retest.** A code change near the draw without retesting can void the audit trail.
- ✗ **No records deletion.** 8-year retention is the floor — tax and consumer statutes need it.
- ✗ **No unannounced changes.** Rule changes mid-campaign need prominent notice and must not affect vested entries.
- ✗ **No casual prize handling.** Release only after PAN, TDS deposit and signed acknowledgement.
- ✗ **No informal loan docs.** Document investor money formally (\$73) from day one.
- ✗ **No sign-off theatre.** Advisors' written opinions are the product the investor is buying — treat them as real.

Ten boxes ticked before entries open

Gate	What is signed off	Owner	Status
G1	Written legal opinion: contest structure + state exposure (Rajasthan / TN / WB / MH)	Lawyer	☐
G2	Written CA note: TDS §128 / §393(3), GST / ITC model for the prize, cash-flow scenarios	CA	☐
G3	GSTIN obtained and live on shivaa.in (no sales before this)	Owner / CA	☐
G4	T&C;, official rules and DPDP privacy published; grievance officer listed	Lawyer + Dev	☐
G5	100 g biscuit purchased (refiner certificate), insured, custodied	Owner / Ops	☐
G6	Free-entry route + quiz + ledger + audited draw tool tested end-to-end	Dev	☐
G7	Ads / Live copy approved: “win a chance”, Meta disclaimer, no “100% free”	Lawyer + Mktg	☐
G8	Vendor agreements signed with first 20-30 makers	Ops	☐
G9	Load test + queue passed; CS staffed with 48h / 30-day SLA	Ops	☐
G10	Draw witness (CA / notary), re-draw rule and 8-year retention confirmed	All	☐

Rule: the full scheme is public only when G1-G4 and G7 are green. A compliant announcement + free pre-registration on 12 Sep is the only pre-gate public activity.

One prize. One nation. One night.

A lawful, taxed, consumer-safe giveaway engine — announced 12 Sep, drawn live 31 Dec 2026.

Ernate Shine Jewellery Pvt. Ltd. · shivaa.in · CIN U32111RJ2025PTC099173

Investment proposal: Rs 1.5 crore · Thank you.

Planning research — not legal, tax or investment advice. Confirm with your lawyer, CA and advisors before commitment.

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